

ASCII MASTER FLOW – PANEL 1/12: Three price-level states

INFLATION -> prices rise

DISINFLATION -> prices rise more slowly

DEFLATION -> general price level falls

TRAP -> rate change is not level change

MUST REMEMBER: Inflation is a sustained increase in a chosen price index; distinguish...

ASCII MASTER FLOW – PANEL 2/12: CPI-WPI-deflator matrix

CPI -> retail basket + services

WPI -> wholesale goods, no services

GDP DEFLATOR -> domestic final output

POLICY ANCHOR -> headline CPI

ASCII MASTER FLOW – PANEL 3/12: Demand-pull chain

SPENDING > AVAILABLE OUTPUT

-> inventories and spare capacity shrink

-> firms raise prices

POLICY -> demand restraint can work

ASCII MASTER FLOW – PANEL 4/12: Supply-shock chain

CROP / OIL / LOGISTICS SHOCK

-> costs or availability worsen

-> prices rise despite weak demand

POLICY -> repair supply + anchor expectations

ASCII MASTER FLOW – PANEL 5/12: Output gap fork

NEGATIVE GAP -> weak demand

POSITIVE GAP -> overheating risk

SUPPLY SHOCK -> inflation can coexist with negative gap

STAGFLATION -> inflation + weak growth

ASCII MASTER FLOW – PANEL 6/12: Expectations loop

PRICE SHOCK

- > wage and price expectations
- > second-round adjustments
- > persistence beyond initial shock

CLOSE DISTINCTION: Price level is not inflation rate, falling inflation is not falling...

ASCII MASTER FLOW – PANEL 7/12: Policy assignment board

RBI -> rates + liquidity + communication

GOVERNMENT -> buffers + tax + trade

STATES -> logistics + enforcement

RULE -> tool must match shock

ASCII MASTER FLOW – PANEL 8/12: India shock timeline

2020 -> lockdown logistics shock

2021-22 -> global commodity surge

2016 -> formal CPI-targeting framework

LESSON -> demand and supply can conflict

ASCII MASTER FLOW – PANEL 9/12: Distributional incidence

POOR -> high food and fuel share

FIXED INCOME -> real purchasing power falls

INDEXED WORKERS -> partial protection

TIGHTENING -> borrowers and MSMEs bear costs

ASCII MASTER FLOW – PANEL 10/12: Business-cycle rail

TROUGH -> RECOVERY -> EXPANSION

-> PEAK -> SLOWDOWN / RECESSION

POLICY DEPENDS ON output gap and shock

PHILLIPS CURVE -> guide, not law

ASCII MASTER FLOW – PANEL 11/12: Index-series break

CPI 2024=100 -> releases from JAN 2026

WPI 2022-23 base -> MAY 2026 onward

NEW BASKET != NEW INFLATION

RULE -> no casual level splicing

ASCII MASTER FLOW – PANEL 12/12: Inflation answer spine

IDENTIFY index + component

DIAGNOSE demand / cost / supply

TRACE expectations + distribution

PRESCRIBE coordinated policy mix

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State index, weights/base, month or year...